

Multiple Choice

1. **Answer:** C

Options: A) The demand curve will shift to the left, decreasing the price of multigrained bread.; B) The supply curve will shift to the left, increasing the price of multigrained bread.; C) The demand curve will shift to the right, increasing the price of multigrained bread.; D) The supply curve will shift to the right, decreasing the price of multigrained bread.

Note: Correct option: C - The demand curve will shift to the right, increasing the price of multigrained bread.

2. **Answer:** D

Options: A) Household income falls.; B) Technology used to produce gasoline improves.; C) The price of subway tickets and other public transportation falls.; D) The price of crude oil, a raw material for gasoline, rises.

Note: Correct option: D - The price of crude oil, a raw material for gasoline, rises.

3. **Answer:** D

Options: A) GDP increases and the price level decreases.; B) GDP decreases and the price level increases.; C) GDP stays the same and the price level increases.; D) GDP increases and the price level increases.

Note: Correct option: D - GDP increases and the price level increases.

4. **Answer:** A

Options: A) changes in the price level must be proportional to changes in the money supply.; B) changes in the money supply have no effect on the price level.; C) changes in the price level have no effect on the money supply.; D) the equation is invalid.

Note: Correct option: A - changes in the price level must be proportional to changes in the money supply.

5. **Answer:** C

Options: A) GDP.; B) GDP per capita.; C) Real GDP per capita.; D) Actual GI)P per capita.

Note: Correct option: C - Real GDP per capita.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
8. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'are each comprised of a recession and an expansion.'
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'tax reductions and open market purchases.'

Long Form Response

11. **Answer:** As a firm's inputs triple, its output quadruples.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Lower taxes on personal income. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key